WTO.[66] However, the developing country narrative also had its limitations on both sides. India did not want to repeat the mistakes from the 1950s when it had allowed Third World solidarity to overshadow its hard security interests.[67] China, on its side, despite a declared concern with developing country issues, had within the context of the World Bank system been seen as "advancing its own interests rather than representing the developing country, or G-77 group."[68] Moreover, in the 1990s, China worked closely with the United States on non-proliferation in South Asia, including in the 1996 Comprehensive Test Ban Treaty (CTBT) negotiations. When the CTBT was approved in the UN, only three countries voted against it: India, Bhutan, and Libya.[69]

Furthermore, in the 1990s and early 2000s, China's main geostrategic push was towards the sea, in the opposite direction from India. Not only was the manufacturing base of China's new role as the world factory concentrated in the coastal provinces, but China gradually started to build naval capabilities and to turn itself into a hybrid land and sea power.[70] It was the very fact that China now did not see a threat on its land borders that enabled China to put resources into building sea power. India going nuclear in 1998, although strongly condemned by Beijing, did not change China's threat perception in any significant way[71] or alter the ongoing transformation of China's geostrategy.

China's foreign policy gradually had to take into account how to handle the hegemonic position of the United States and how to avoid neighbouring countries looking upon rising China as a threat. Both dimensions had relevance for China's policy on India. With the end of the Cold War, the Soviet Union disappeared as a common denominator in Sino–US relations. Although China did not need the United States as a counterweight to face Russia or India, it needed close economic cooperation with the United States to achieve its goal of economic modernisation, and it had common